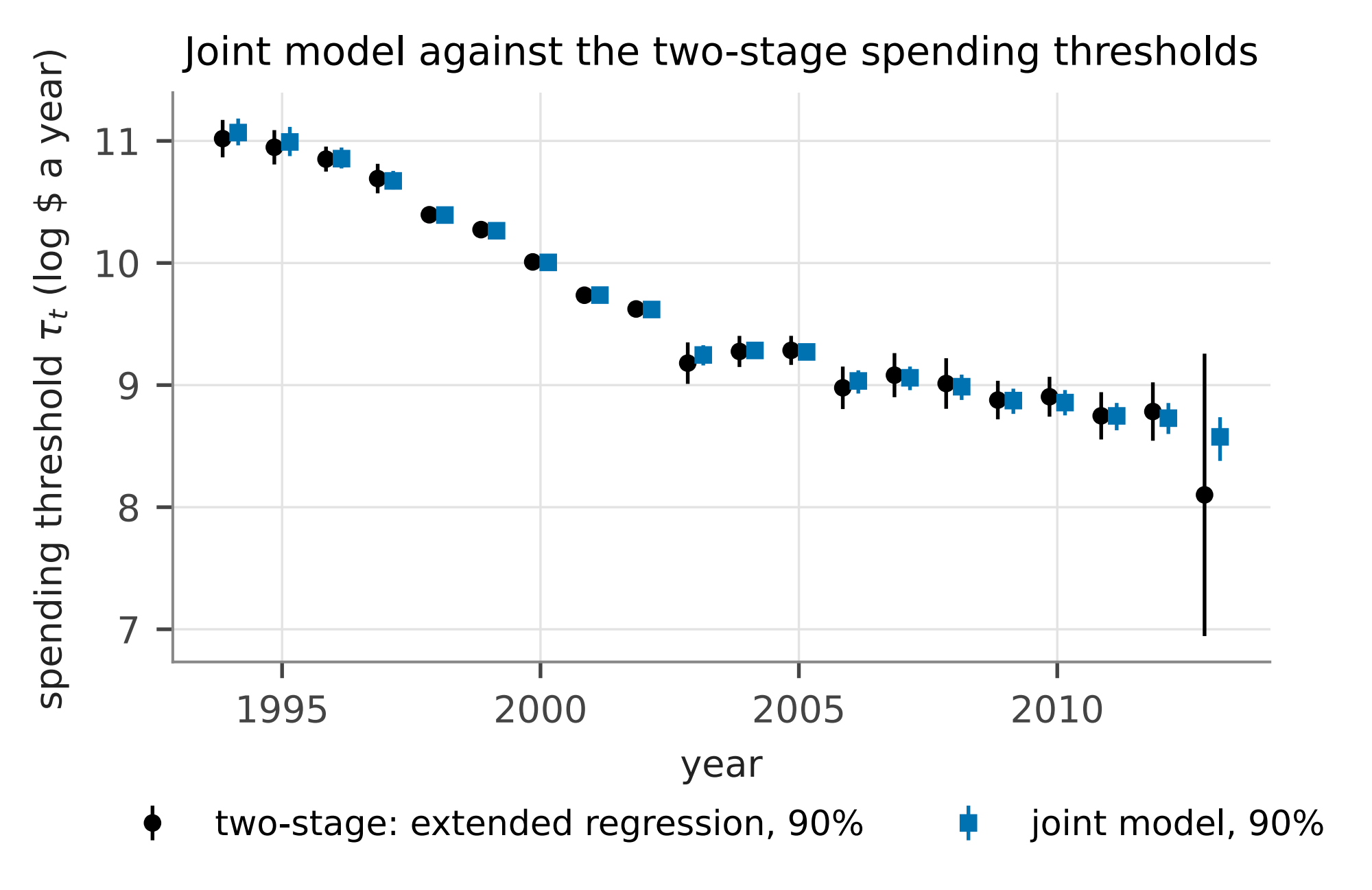
Joint model against the two-stage spending thresholds
spending threshold τ_t (log $ a year)
11
10
9
8
7
1995
2000
2005
2010
year
two-stage: extended regression, 90%
joint model, 90%